

23STCV07146 23STCV07146

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Case Number: 23STCV07146 Hearing Date: July 7, 2026 Dept: 508

Superior

Court of California

County

of Los Angeles

Department 508

consumer advocacy group, inc.,

Plaintiff,

vs.

INTERDESIGN, INC., et al.

Defendants.

Case No.:

23STCV07146

Hearing Date:

July 7, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE] ORDER

RE:

PLAINTIFF'S MOTION TO APPROVE AND ENTER CONSENT JUDGMENT BETWEEN
PLAINTIFF CONSUMER ADVOCACY GROUP, INC. AND DEFENDANT INTERDESIGN, INC.

Background

On April 3, 2023, Consumer Advocacy Group, Inc. ("CAG") filed a Proposition 65 ("Prop 65") action against Defendants InterDesign, Inc. ("InterDesign"), Bed Bath & Beyond Inc., and Bed Bath & Beyond of California LLC (collectively, "Defendants"), alleging one cause of action for violations of Prop 65. CAG alleges that Defendants are manufacturers, distributors, promoters, or retailers of Fridge Freezer Labels which contain Diethyl Hexyl Phthalate and Bis (2-ethylhexyl) phthalate ("DEHP"). (Compl., ¶¶ 18, 26-28.) CAG alleges that "Defendants knowingly and intentionally exposed California consumers and users of Fridge Freezer Labels ... without first providing any type of clear and reasonable warning of such to the exposed persons before the time of exposure." (Compl., ¶ 30.)

CAG now moves for the Court to approve and enter consent judgment between CAG and InterDesign. InterDesign does not oppose.

Legal Standard

Proposition 65 prohibits "knowingly and intentionally expos[ing] any individual to a chemical known to the state to cause cancer" without "first giving clear and reasonable warning" to that individual. (Consumer Def. Grp. v. Rental & Hous. Indus. Members (2006) 137 Cal.App.4th 1185, 1213; Health & Saf. Code, § 25249.6.) Prop 65 authorizes persons to bring private enforcement actions in the public interest against an alleged violator. (Health & Saf. Code, § 25249.7, subd. (d).) To comply, the individual must provide notice of the alleged violation to (1) the Attorney General, (2) the district attorney, city attorney, or prosecutor in the jurisdiction of the alleged violation, and (3) the alleged violator. (Ibid.) If neither the Attorney General nor the appropriate prosecutor commences an action against the violation, then the litigant may commence the action no less than 60 days after

providing notice. (Ibid.)

If a private enforcement action settles, the plaintiff must submit the settlement to the court for approval upon noticed motion. (Health & Saf. Code, § 25249.7, subd. (f)(4).) The court may approve the settlement only if it makes the following findings: (i) the warning that is required by the settlement complies with Prop 65; (ii) the award of attorney fees is reasonable under California law; and (iii) the penalty amount is reasonable. (Id., § 25249.7, subd. (f)(4)(A)-(C).)

Discussion

CAG requests that the Court approve the stipulated consent judgment between CAG and InterDesign. As a preliminary matter, CAG adequately complied with the 60-day notice of intent to sue, as required by Health and Safety Code section 25249.7, for both lawsuits. (Yeroushalmi Decl., ¶¶ 7-10; Exs. B-C.)

A.

The Warning Labels Comply with Prop 65

A warning must be clear and reasonable to comply with Prop 65. (Cal. Code Regs., tit. 27, § 25607.2.)

The proposed consent judgment states that after the Court approves the instant settlement, InterDesign will “not sell in California, offer for sale in California, or ship for sale in California any Covered Products unless the level of DEHP does not exceed 0.1% (1,000 parts per million) by weight (‘reformulation level’).” (Yeroushalmi Decl., ¶ 6, Ex. A, Consent Judgment, § 3.1.) As for products that exceed the reformulation level of DEHP that are manufactured for distribution or sale into California prior to the consent agreement’s effective date, InterDesign will “provide a Proposition 65 compliant warning for the Covered Products as permitted by Proposition 65 and its implementing regulations or as set forth below. Any warning provided pursuant to this section shall be affixed to the packaging of, or directly on, the Covered Products, and be prominently placed with such conspicuousness as compared with other words, statements, designs, or devices as to render it likely to be read and understood by an ordinary individual under customary conditions before purchase or use.” (Consent Judgment, § 3.2.) Additionally, should InterDesign sell or distribute any products in its “existing inventory

through the internet[,] the warning will be posted in the manner provided for with respect to internet sales, as provided for in 27 CCR sections 25601 and 25602." (Ibid.) The agreement also provides explicit language and a warning sign for what InterDesign must place on its products. (Consent Judgment, § 3.3.)

Thus, according to the terms outlined in the agreement, the Court finds that the warning labels are clear and reasonable, such that they adequately comply with Prop 65's requirements.

B.

The Award of Attorney Fees is Reasonable

CAG and InterDesign's consent agreement stipulates that InterDesign will pay \$420,000.00 for CAG's attorney fees. (Yeroushalmi Decl., ¶ 25; Consent Judgment, § 4.1.3.) This amount represents a portion of the attorney fees and costs CAG incurred. (Yeroushalmi Decl., ¶ 25; Ex. F.) CAG's counsel attests that approximately \$452,331.00 in Lodestar fees were incurred from the inception of the lawsuit. (Ibid.)

In support, CAG's counsel provides a detailed declaration discussing the work it conducted to bring the lawsuit to fruition. (Yeroushalmi Decl., ¶ 13.) Prior to the suit, CAG engaged in "extensive and time-consuming" pre-notice investigations and research phases with investigators, attorneys, and scientific consultants. (Yeroushalmi Decl., ¶ 14.) Next, during the complaint stage, CAG continued to research and investigate, in addition to drafting agreements. (Yeroushalmi Decl., ¶ 15.) For the discovery and litigation phase, CAG's counsel details the actions they took, including, inter alia, filing and responding to motions, preparing discovery requests and responses, and preparing for trial. (Yeroushalmi Decl., ¶ 16.) Finally, at the settlement phase, CAG's counsel had to prepare the motion and declaration, communicate with the client and opposing parties, and more. (Yeroushalmi Decl., ¶ 17.)

To calculate fees, the lodestar method is used. "[T]he court tabulates the attorney fee touchstone, or lodestar, by multiplying the number of hours reasonably expended by the reasonable hourly rate prevailing in the community for similar work," plus any reasonable fees a

party incurred in filing the motion. (Marshall v. Webster (2020) 54 Cal.App.5th 275, 285.) This is “an objective, nonarbitrary, and easy to administer calculation of attorney fees” because it fixes the fees “at the fair market value for the legal services provided.” (Reynolds v. Ford Motor Co. (2020) 47 Cal.App.5th 1105, 1117.) This “approach anchors the trial court’s analysis to an objective determination of the value of the attorney’s services, ensuring that the amount awarded is not arbitrary.” (Ibid.)

CAG’s
counsel

discusses the differences in fees for the various attorneys who worked on the case, based on each person’s education, experience, and involvement in the lawsuit. (Yeroushalmi Decl., ¶¶ 19-22; 32.) CAG seeks hourly attorney fees at the rate of \$990, \$900, and \$700, as well as support staff fees that range from \$250 to \$95. (Ibid.) CAG’s counsel points to similarly approved rates in Prop 65 litigation to bolster the contention that the rates are reasonable. (Yeroushalmi Decl., ¶ 23.) Further, CAG’s counsel attaches the Adjusted Laffey Matrix to provide a fee schedule that some courts utilize to determine appropriate legal fees. (Yeroushalmi Decl., ¶ 24; Ex. E.)

CAG’s counsel states that “[a]lthough the timesheets show that counsel spent over 830.9 hours on this case, this does not reflect all counsel’s hours. Moreover, much of my own time, which was spent supervising and directing my staff, was not recorded.” (Yeroushalmi Decl., ¶ 28.) CAG’s counsel also attests, “[t]he lodestar amount does not include litigation costs such as investigation fees, expert consultant costs, laboratory testing fees, filing fees, service fees, or motion fees.” (Yeroushalmi Decl., ¶ 30.)

The complexity, length of time, and results of this case leads the Court to believe that the stipulated amount is reasonable, as it also reflects a decrease from the lodestar. Accordingly, the Court finds the attorney fees reasonable.

C.

The Penalty Amount is Reasonable

To determine the reasonableness of a settlement amount, the court must consider:

(A) The nature and extent of the violation.

(B) The number of, and severity of, the violations.

(C) The economic effect of the penalty on the violator.

(D) Whether the violator took good faith measures to comply with this chapter and the time these measures were taken.

(E) The willfulness of the violator's misconduct.

(F) The deterrent effect that the imposition of the penalty would have on both the violator and the regulated community as a whole.

(G) Any other factor that justice may require.

(Health & Saf. Code, § 25249.7, subd. (b)(2).) Additionally, a civil penalty cannot exceed \$2,500 per day for each violation, in addition to any other legally established penalties. (Health & Saf. Code, § 25249.7, subd. (b)(1).)

The parties stipulated to a total payment amount of \$520,000.00. (Consent Judgment, § 4.1.) InterDesign's civil penalty totals \$57,160.00. (Consent Judgment, § 4.1.1.) 75% of the total penalty, \$42,870.00, will go to the State of California's Office of Environmental Health Hazard Assessment. (Consent Judgment, § 4.1.1(a).) The other 25%, \$14,290.00, will go to CAG. (Ibid.) InterDesign will also make a separate payment of \$42,840.00 to CAG, "pursuant to Health & Safety Code § 25249.7(b) and California Code of Regulations, Title 11 § 3203(d)," for fees for investigation, purchasing, storage, and testing for Prop 65 listed chemicals in various products, for expert fees for evaluating exposures, and for administrative costs. (Consent Judgment, § 4.1.2.) Lastly, InterDesign will pay attorney fees to CAG in the amount of \$420,000.00.

(Consent Judgment, § 4.1.3.)

This case “required extensive and ongoing consultation with experts regarding the exposure analysis from exposure to Labels.” (Yeroushalmi Decl., ¶ 10.) “Prior to settlement, CAG has been working on this matter for over four years on a contingency basis, including advancing a substantial amount of costs for investigating, testing and experts related to each claim. CAG maintains that DEHP exposures are severe violations due to the highly toxic nature of this chemical. Given the complexity of the exposure analysis and what is required for the enforcement of the law, a significant amount of work is necessary before each 60-day notice is issued.” (Ibid.) CAG’s counsel mentions that “[o]ne factor in determining civil penalties is the nature and extent of the violations. Documents provided by InterDesign in response to discovery stated that InterDesign sold approximately 3,000 units of the Covered Product in California in the relevant period.” (Yeroushalmi Decl., ¶ 12.) Further, CAG’s counsel explains that InterDesign’s “willingness to reformulate the Covered Products to reduce the DEHP levels exhibits less willfulness for the alleged violations. Defendant’s prompt willingness to comply mitigates penalties.” (Yeroushalmi Decl., ¶ 11.) CAG asserts that InterDesign’s “total payment to settle this case, \$520,000.00, plus their costs and attorney’s fees, should be a sufficient deterrent against future violations. Further, the Consent Judgment, if approved, would become public record and could encourage others in the industry to comply with the law through word of mouth. It is reasonable that others in the industry will be put on notice of the consequences and costs associated with this Consent Judgment and would induce them to take action to comply with Proposition 65’s safeguards.” (Mot., 14:10-15.)

The Court finds that in light of the number of violations, the length of time, and InterDesign’s willingness to comply, the proposed penalty is reasonable.

Conclusion

Based on the foregoing, CAG’s motion to approve and enter the consent judgment is GRANTED.

CAG is ordered to provide notice of this Order.

DATED: July

7, 2026

Hon.

Teresa A. Beaudet

Judge, Los

Angeles Superior Court